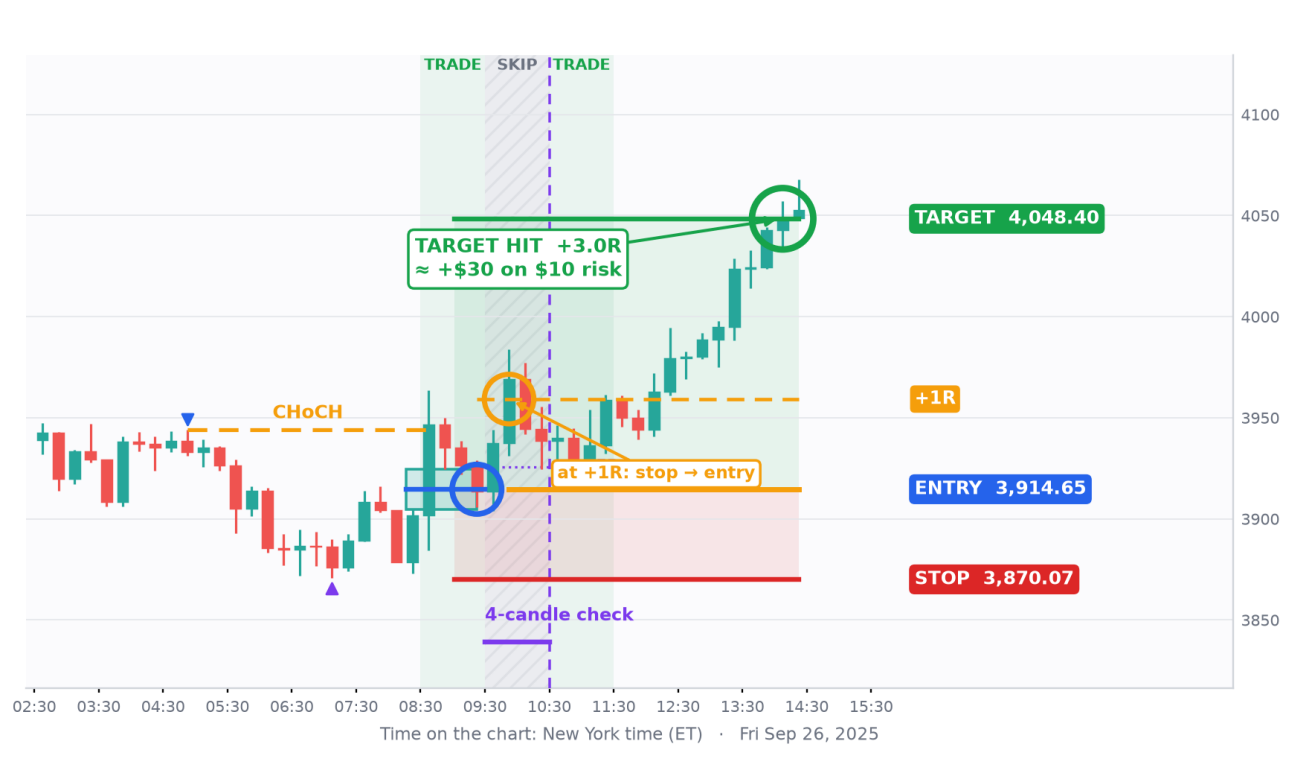
TRADING SYSTEM STEPS | DRAFT 1 FOR REVIEW

NY SMC v7

CHoCH -> Gap (FVG) -> limit entry

A rule-based New York morning setup for SOL and ETH perpetual futures, shown step by step on real candles, with circles, lines and labels.



THE SYSTEM IN ONE SENTENCE

In the first hours of New York trading, wait for price to **break the last swing with a strong candle**, then **buy (or sell) the pullback** into the first gap, with a fixed stop and a **3x target**.

MARKETS
SOLUSDT, ETHUSDT perpetuals

CHART
15-minute candles

WHEN
08:30-09:30 + 10:30-11:30 ET

ORDER
limit order at 50% of the gap

REWARD : RISK
3 : 1 (target = 3 x risk)

RISK PER TRADE
one fixed small amount

TRADES
about 4 a month (both coins)

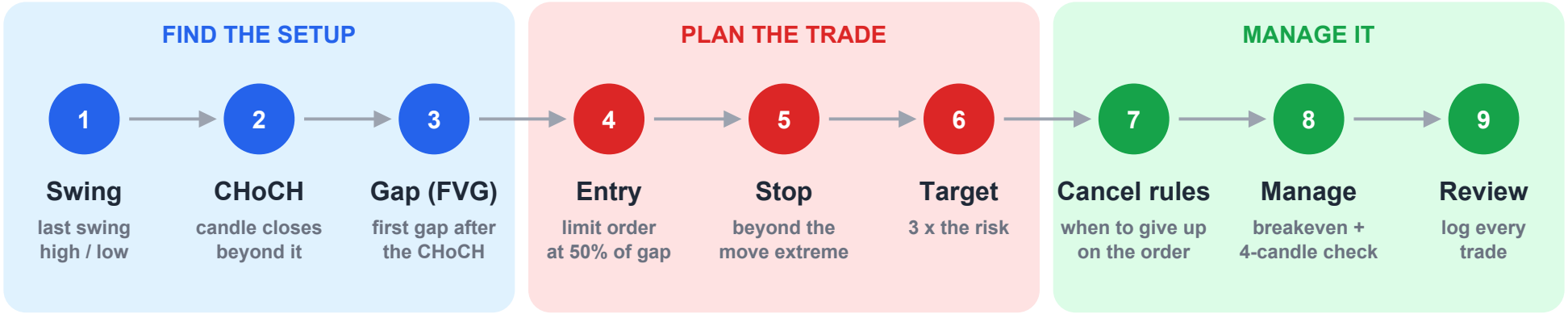
TYPICAL HOLD
about 4 hours (median)

STATUS: BACKTESTED, NOT PROVEN

Profitable in 2023-26 backtests and better than random entries, but it **lost money in 2021-23**. Treat it as a candidate: **paper trade 40 trades first**, then start tiny.

Charts: real Bybit 15m candles, drawn in the style of the app's SMC Toolkit. Example trade: ETHUSDT, Fri 26 Sep 2025 (long, +3R). Not financial advice.

The system at a glance



WHEN: only a CHoCH candle that CLOSES in a green zone counts (New York time, ET)



The same moments on a Philippine (PH) clock (US summer = about Mar-Nov, winter = about Nov-Mar):

US summer: +12 h	20:30	21:30	22:30	23:30	04:00 next day
US winter: +13 h	21:30	22:30	23:30	00:30	05:00 next day

BLUE: FIND THE SETUP

- Mark the last **swing** (5 candles each side).
- A candle **closes beyond** it = **CHoCH** (big candle, right time).
- Mark the **first gap** (FVG) after it.

RED: PLAN THE TRADE

- **Limit order** in the middle of the gap.
- **Stop** just past the extreme of the move.
- **Target** = 3 x the risk. Size = risk $ / stop distance.

GREEN: MANAGE IT

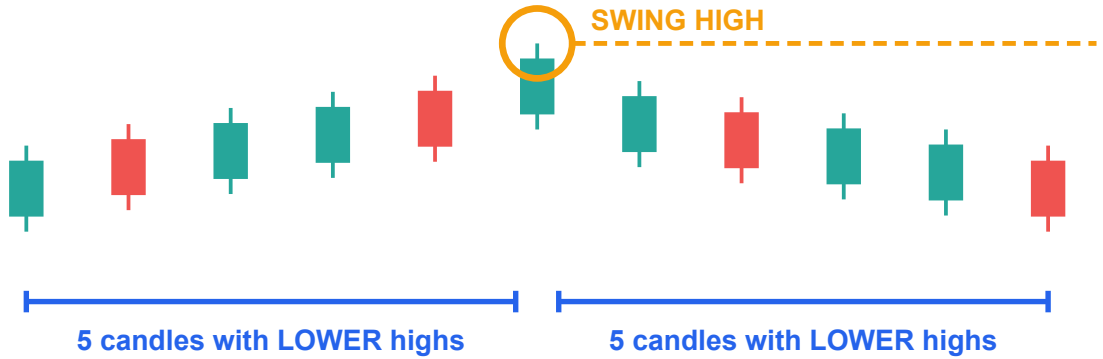
- **Cancel** the order if it is stale or wrong.
- At **+1R** move the stop to entry; no follow-through after 4 candles: stop to -0.5R.
- **Log** every trade, win or lose.

1 Find the trend and the last swing



Real trade: ETHUSDT perp, 15m, long, Fri 26 Sep 2025 (+3R). Times on the chart are New York time (ET).

SWING HIGH = a high that is the highest of the 5 candles on each side



A swing LOW is the mirror image. It is "confirmed" only after the 5 candles after it have printed.

WHAT TO DO

1. Open a **15-minute** chart of SOLUSDT or ETHUSDT (perpetual). Show New York time, or know your offset (page 2).
2. Look at the hours before the NY open: for a **LONG** you want a **downtrend** (lower highs, lower lows). For a SHORT, the opposite.
3. Find the **last swing high** (long) or swing low (short): the extreme of 5 candles on each side.
4. Draw a horizontal line at its price. This is **"the line to beat"**.

THE RULE (all must be true)

- The swing is **confirmed**: the 5 candles after it have already printed.
- The app's **SMC Toolkit** marks swings and CHoCH lines for you.

DON'T

- Use a tiny wiggle inside a sideways range.
- Use a swing that is not confirmed yet.
- Trade before you have the line drawn.

2 Wait for the CHoCH candle



Real trade: ETHUSDT perp, 15m, long, Fri 26 Sep 2025 (+3R). Times on the chart are New York time (ET).



WHAT TO DO

1. Wait for a candle that **CLOSES beyond the line**: above it for a long, below it for a short.
2. Check the **clock**: the candle must close between **08:30-09:30** or **10:30-11:30 ET**. The 09:30-10:30 open hour is skipped.
3. Check the **size**: its high-low must be at least **1 x ATR(14)** (one average candle).
4. All three true: go to step 3. Any false: **no trade**, wait for the next one.

THE RULE (all must be true)

- Close beyond the line (a wick does not count).
- Closes inside the green windows.
- Candle range >= 1.0 x ATR(14).

DON'T

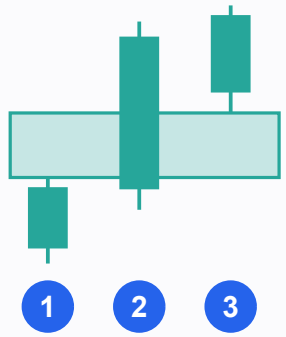
- Enter on this candle or chase it.
- Count a wick that closed back inside.
- Trade signals from 09:30-10:30 ET (they lost money in testing).

3 Mark the first gap (FVG)



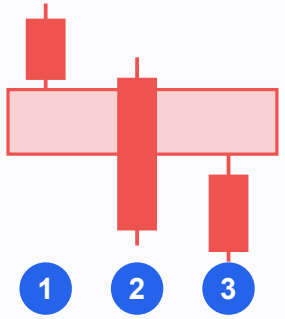
Real trade: ETHUSDT perp, 15m, long, Fri 26 Sep 2025 (+3R). Times on the chart are New York time (ET).

BULLISH GAP (for a long)



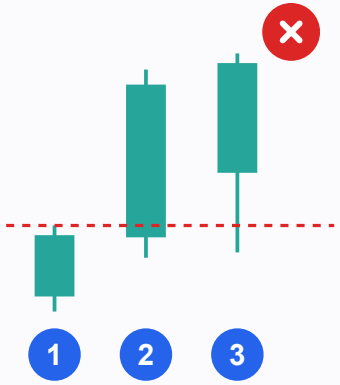
low of candle 3 is ABOVE high of candle 1 = gap

BEARISH GAP (for a short)



high of candle 3 is BELOW low of candle 1 = gap

NO GAP: wicks overlap



candle 3 dips back to candle 1 = nothing to trade

WHAT TO DO

1. Look at the CHoCH candle and the candles right after it (up to **10 candles**).
2. Find the **first** 3-candle gap in your direction. Long: low of candle 3 is **above** the high of candle 1. Short: high of 3 **below** the low of 1.
3. Draw a box from the high of candle 1 to the low of candle 3.
4. The box must be at least **0.2 x ATR** tall (not a sliver).

THE RULE (all must be true)

- The gap is the FIRST one after the CHoCH.
- It appears within 10 candles of the CHoCH.
- Height >= 0.2 x ATR. No gap = **no trade**.

DON'T

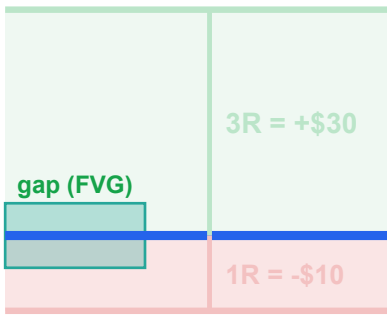
- Use an old gap from earlier in the day.
- Use "gaps" where the wicks still overlap.
- Trade without a gap because the candle "looked strong".

4 Place the limit order at 50%



Real trade: ETHUSDT perp, 15m, long, Fri 26 Sep 2025 (+3R). Times on the chart are New York time (ET).

THE PLAN: 3 lines, drawn BEFORE you enter (a long is shown; a short is the mirror)



TARGET
= entry + 3 x risk

ENTRY (limit order)
= the middle of the gap

STOP
just past the extreme

SIZE THE TRADE

Position size =
risk $ / stop distance

Example (ETH long):
entry 3,914.65
stop 3,870.07
distance 44.58 (1.14%)

$10 / 44.58 = 0.224 ETH
(about $878 position)

WHAT TO DO

1. Work out the middle of the box: **(top + bottom) / 2**.
2. As soon as candle 3 has closed, place a **LIMIT order** at that price: buy for a long, sell for a short.
3. Then wait. Price has to come back to you. If it does not, the order simply expires (step 7).

THE RULE (all must be true)

- Entry = exactly the middle of the gap.
- It is a **limit** order, placed after candle 3 closes.

DON'T

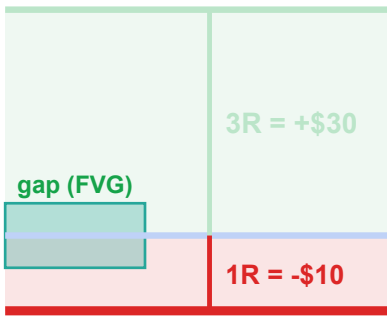
- Buy at market or chase price.
- Move the order closer "so it fills".
- Worry about the clock: the fill itself can happen any time before 16:00 ET.

5 Set the stop



Real trade: ETHUSDT perp, 15m, long, Fri 26 Sep 2025 (+3R). Times on the chart are New York time (ET).

THE PLAN: 3 lines, drawn BEFORE you enter (a long is shown; a short is the mirror)



TARGET
= entry + 3 x risk

ENTRY (limit order)
= the middle of the gap

STOP
just past the extreme

SIZE THE TRADE

Position size =
risk $ / stop distance

Example (ETH long):
entry 3,914.65
stop 3,870.07
distance 44.58 (1.14%)

$10 / 44.58 = 0.224 ETH
(about $878 position)

WHAT TO DO

1. Find the **lowest low** (long) or highest high (short) between the swing line and the CHoCH candle: the extreme of that move.
2. Stop = that price **0.02% beyond** it (below for a long, above for a short).
3. Measure the distance entry to stop. If it is more than **4 x ATR**, skip the trade.
4. Set the stop order at the same time as the entry.

THE RULE (all must be true)

- Stop sits just beyond the extreme of the CHoCH move.
- Stop distance <= 4 x ATR(14).

DON'T

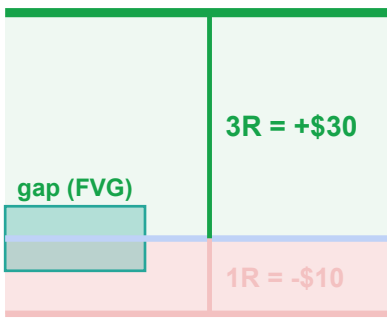
- Put the stop closer to "risk less".
- Move it further away later.
- Trade without a stop.

6 Set the target and size the trade



Real trade: ETHUSDT perp, 15m, long, Fri 26 Sep 2025 (+3R). Times on the chart are New York time (ET).

THE PLAN: 3 lines, drawn BEFORE you enter (a long is shown; a short is the mirror)



TARGET
= entry + 3 x risk

ENTRY (limit order)
= the middle of the gap

STOP
just past the extreme

SIZE THE TRADE

Position size =
risk $ / stop distance

Example (ETH long):
entry 3,914.65
stop 3,870.07
distance 44.58 (1.14%)

$10 / 44.58 = 0.224 ETH
(about $878 position)

WHAT TO DO

1. **Target = entry + 3 x (entry - stop)** for a long. For a short, entry - 3 x (stop - entry).
2. Position size = **risk $ / stop distance**. Example (ETH): $10 / 44.58 = 0.224 ETH.
3. The same small amount is risked on every trade, so a stop-out always costs 1R and a target wins 3R.
4. Place the target order together with the stop.

THE RULE (all must be true)

- Reward is exactly 3 x the risk.
- Risk per trade is the same fixed amount (1% of the account or less).

DON'T

- Pick a bigger size because you feel sure.
- Pull the target closer to "get paid sooner".
- Risk more after a losing streak.

WHY 3 : 1?

- Only about 1 trade in 3 reaches the target, but each win pays three times a loss.

7 Know when to cancel



Real trade: ETHUSDT perp, 15m, long, Fri 26 Sep 2025 (+3R). Times on the chart are New York time (ET).

CANCEL the limit order (do not enter late) if ANY of these happens first:

1 Not filled within 8 candles

about 2 hours after the gap formed.
The pullback never came.

2 Structure breaks the other way

an opposite CHoCH / break appears.
The idea is dead.

3 Price reaches the TARGET first

it ran without you.
Never chase it.

4 16:00 ET (New York close)

cancel every unfilled order
at the end of the NY session.

WHAT TO DO

1. Once the limit order is in, keep watching these four triggers.
2. If **any** happens before the order fills: **cancel it** and wait for the next setup.
3. A cancelled order is a normal outcome, not a failure. Writing it down is part of the job.

THE RULE (all must be true)

- Not filled within **8 candles**.
- An **opposite** CHoCH / structure break appears.
- Price **reaches the target** without filling you.
- It is **16:00 ET**.

DON'T

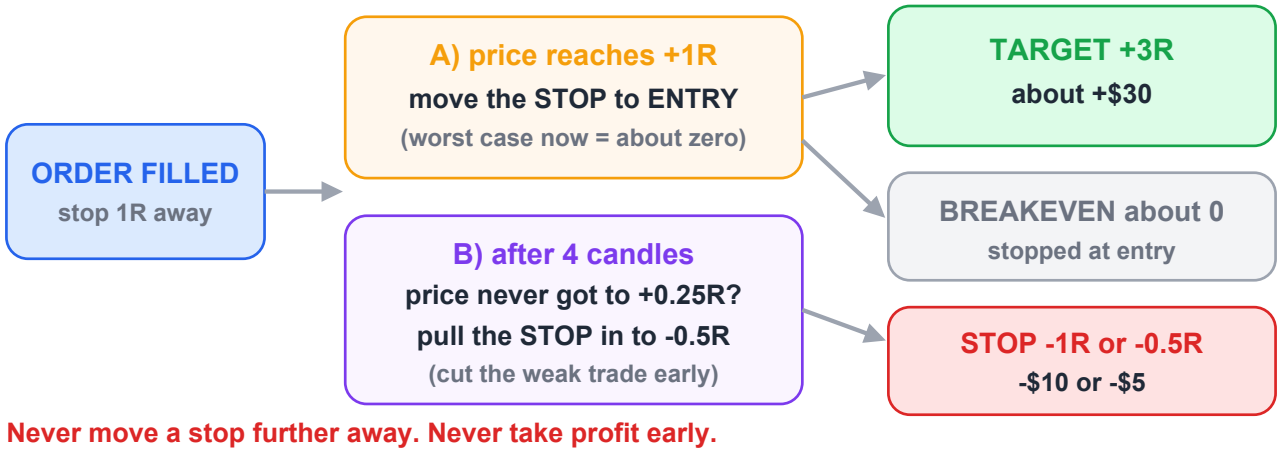
- Leave a stale order sitting overnight.
- Re-enter at market after a cancel.
- Trade two setups on one coin at the same time.

8 After the fill: manage it



Real trade: ETHUSDT perp, 15m, long, Fri 26 Sep 2025 (+3R). Times on the chart are New York time (ET).

AFTER THE ORDER FILLS: only two stop moves are allowed



Never move a stop further away. Never take profit early.

WHAT TO DO

1. Your order is filled and your stop and target are in. Now **do nothing** except two stop moves.
2. At **+1R**: move the stop to your **entry**. The trade can no longer lose much.
3. After **4 candles**: if price never got to +0.25R, pull the stop in to **-0.5R**.
4. Otherwise leave it alone until the stop or the target is hit.

THE RULE (all must be true)

- Two stop moves only: +1R to entry, and the 4-candle check.
- The target stays at 3R.

DON'T

- Widen a stop or remove it.
- Take profit early or move the target.
- Add to the position.

9 Review: the result and the log



Result of the example trade: target hit, +3.0R (about +$30 on $10 risk).

WHAT 154 BACKTESTED TRADES LOOKED LIKE (SOL + ETH, 2023-26, $10 risk)

31%	36%	34%
47 trades	55 trades	52 trades
Hit the 3R target	Stopped at breakeven (about $0)	Stopped out (-$10 or -$5)

Roughly 1 trade in 3 reaches the target; the rest are small scratches or losses.

Average trade: about +$5.7 at $10 risk (about 4 trades a month across SOL + ETH).

Longest stretch without a winner: 8 trades in a row. Biggest drawdown about -$57.

These are backtest results on data the rules were tuned on - not a promise.

WHAT TO DO

1. The trade ends one of three ways: **target (+3R)**, **breakeven (about 0)**, or **stopped out** (-1R or -0.5R).
2. Write one line in your log: date, coin, long/short, CHoCH time (ET), entry, stop, target, result in R.
3. Take a screenshot of the chart. Note anything you broke the rules on.
4. Count your trades. The plan is to log **40 paper trades** before real money.

THE RULE (all must be true)

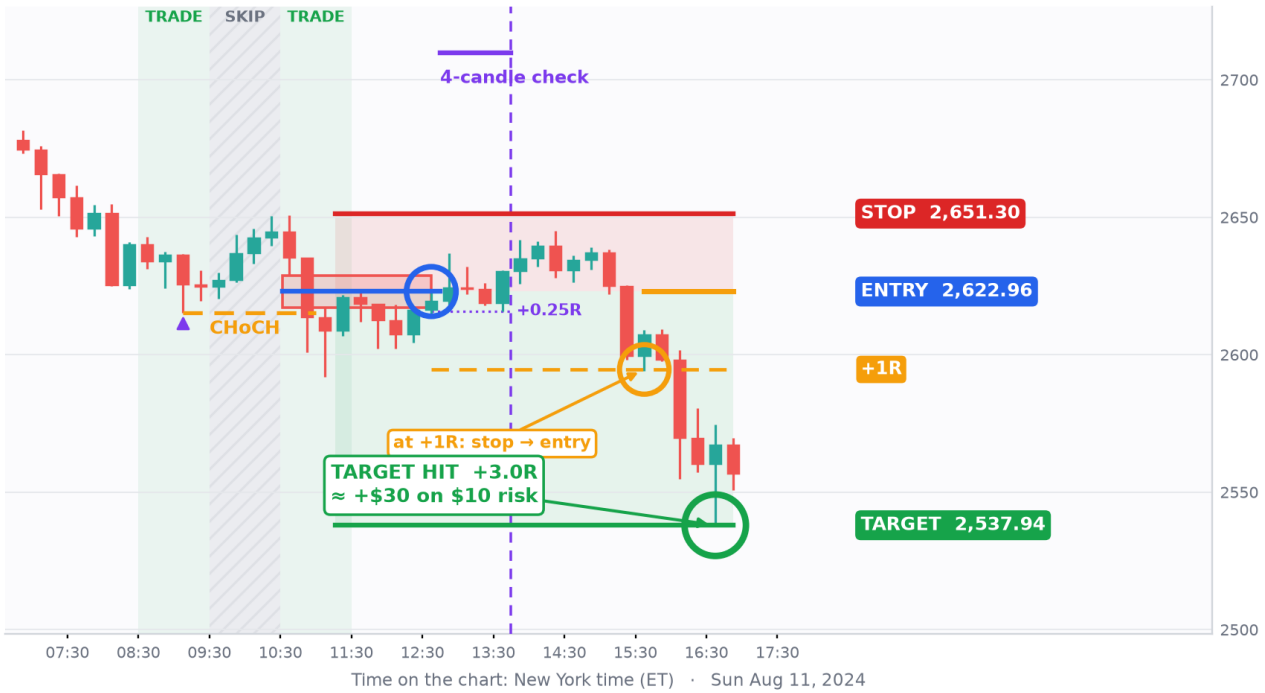
- Every trade is logged, including cancelled and skipped setups.

DON'T

- Judge the system on one or two trades.
- Change a rule because of a loss.
- Skip logging the bad ones.

Shorts are the mirror image

same rules, flipped



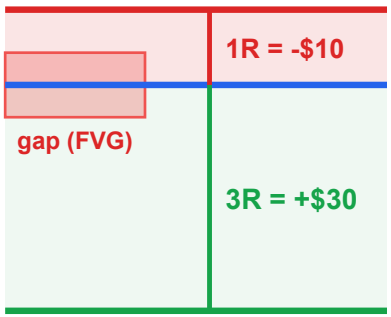
Real trade: ETHUSDT perp, 15m, SHORT, Sun 11 Aug 2024, CHoCH at 10:45 ET (+3R). New York time.

	LONG	SHORT
Trend before	downtrend	uptrend
Line to beat	last swing high	last swing low
CHoCH candle	closes above	closes below
Gap (FVG)	low of 3 above high of 1	high of 3 below low of 1
Entry	limit BUY at 50%	limit SELL at 50%
Stop	below the low of the move	above the high of the move
Target	above: entry + 3R	below: entry - 3R
+1R / 4-candle	same	same

REMEMBER

- Every rule on pages 3-10 applies unchanged: windows, candle size, gap size, 8-candle expiry, 16:00 ET.
- Both directions made money in the 3-year test (longs +$499, shorts +$376 at $10 risk), but SOL shorts made only +$2 in the last year, so do not expect them to be equal.

THE PLAN: 3 lines, drawn BEFORE you enter (a SHORT is shown; a long is the mirror)



STOP
just past the extreme

ENTRY (limit order)
= the middle of the gap

TARGET
= entry - 3 x risk

SIZE THE TRADE

Position size =
risk $ / stop distance

Example (ETH long):
entry 3,914.65
stop 3,870.07
distance 44.58 (1.14%)

$10 / 44.58 = 0.224 ETH
(about $878 position)

Must do / Must not do

MUST DO

1. Trade only **SOLUSDT and ETHUSDT**, on the **15-minute** chart.
2. Count a CHoCH only if it **closes** in **08:30-09:30 or 10:30-11:30 ET**.
3. Require a **big candle** (>= 1 ATR) and a **real gap** (>= 0.2 ATR).
4. Use a **limit order at 50%** of the gap, with stop and target placed at once.
5. Risk the **same small amount** every trade (1% or less; less while testing).
6. **Cancel** after 8 candles / opposite break / target first / 16:00 ET.
7. Move the stop to entry at **+1R**; pull it to **-0.5R** after 4 weak candles.
8. **Log every setup**, including the ones you skipped, and why.
9. **Paper trade 40 trades** before any real money.

MUST NOT DO

1. Buy or sell at market, or chase after the CHoCH candle.
2. Count wicks or small candles as a CHoCH.
3. Take signals from the **09:30-10:30 ET** hour.
4. **Widen or remove a stop.** Ever.
5. Take profit early or drag the target closer.
6. Add to a loser, or double up after a loss.
7. Use these exact settings on **BTC, DOGE, XRP or others** (they lost in testing).
8. Hold more than **one trade per coin** at a time.
9. Raise your size because of a winning streak.
10. Risk money you cannot afford to lose.

Printable checklist

tick every box before you trade

1 BEFORE THE NY SESSION

- [ ] SOLUSDT or ETHUSDT, **15m** chart
- [ ] Clock set to New York time (or I know my offset)
- [ ] Alert set for **08:30 ET**
- [ ] Risk amount decided (same every trade)
- [ ] No open trade on this coin
- [ ] Log sheet ready

2 SIGNAL APPEARS

- [ ] Last swing high/low marked (5 candles each side)
- [ ] Candle **closed** beyond it
- [ ] Closed in **08:30-09:30** or **10:30-11:30 ET**
- [ ] Candle range >= **1 ATR**
- [ ] First gap within **10 candles**
- [ ] Gap height >= **0.2 ATR**
- [ ] Entry = **50%** of the gap
- [ ] Stop beyond the move extreme (+0.02%)
- [ ] Stop distance <= **4 ATR**
- [ ] Target = entry +/- **3 x risk**
- [ ] Size = risk $ / stop distance
- [ ] Limit + stop + target all placed

3 AFTER THAT

- [ ] Cancel if: **8 candles** / opposite break / target first / **16:00 ET**
- [ ] At **+1R**: stop to entry
- [ ] 4 candles, never +0.25R: stop to **-0.5R**
- [ ] No other stop moves, no early exits
- [ ] Screenshot saved
- [ ] Result written in R
- [ ] Rules broken? Write down which

WHEN: only a CHoCH candle that CLOSES in a green zone counts (New York time, ET)



The same moments on a Philippine (PH) clock (US summer = about Mar-Nov, winter = about Nov-Mar):

US summer: +12 h	20:30	21:30	22:30	23:30	04:00	next day
US winter: +13 h	21:30	22:30	23:30	00:30	05:00	next day

What this is, and what it is not

WHAT THE TESTS SHOWED

- **Backtest, Oct 2023 - Oct 2026**, SOL + ETH at $10 risk: about **+$815 to +$876** (154 trades, 26 of 37 months profitable, about +$22-24 a month).
- **Random entries** with the same exits lost about $55 over the same period: the profit is not just the exit rules.
- Re-checking exits on **1-minute candles** and with worst-case ordering kept 92-94% of the profit.

WHAT STILL WORRIES US

- It **lost money in Oct 2021 - Oct 2023** (SOL -$145, ETH about breakeven). The edge may depend on the 2023-26 market.
- The rules were chosen from about 200 tests on the same data, so the results are optimistic.
- It was weaker on BTC, DOGE and XRP. Only trade SOL and ETH.
- Funding fees, real-time fills and slippage on stops are not fully tested.
- Expect long dry spells: the longest run without a winner was **8 trades** (about 2 months).

THE PLAN BEFORE REAL MONEY

1. **Paper trade 40 trades** (about 9-10 months at 4 a month) with this checklist. Use the app's replay with the **NY SMC v7** strategy to practise.
2. If the paper results are clearly worse than the tests, stop. If they hold up, start with **0.25-0.5% risk** per trade, not 1%.
3. **Next in this PDF (after you approve this draft):** about 10 real winning examples each for SOL and ETH in this same style, app screenshots of the indicator, and a trade-log sheet.